IN THE INDUSTRIAL COURT OF MALAYSIA
PERAK BRANCH

CASE NO.: 10/4-1265/24

BETWEEN

TEE SHYANG CHIN

AND

WONDER FRY SDN BHD

AWARD NO: 380 OF 2026

Before	:	**Y.A. TUAN ZULHELMY BIN HASAN - CHAIRMAN**
Venue	:	Industrial Court Malaysia, sitting at Ipoh, Perak
Date of Reference	:	17.10.2024
Dates of Mention	:	28.11.2024, 13.02.2025, 14.03.2025
Dates of Hearing	:	18.09.2025
Representation	:	Jason Ng Thien Yeong From Messrs. Wong S. & Jason Ng Counsel for the Claimant Hiew Yee Wei General Manager Representative of the Company

Reference:

This is a reference made by the Director General of the Industrial Relations Department Malaysia dated 17.10.2024 to the Industrial Court of Malaysia which was received on 21.10.2024 pursuant to **Section 20(3) Industrial Relations Act 1967** regarding alleged unfair dismissal claim of **Tee Shyang Chin** (hereinafter to be referred as "the Claimant") by **Wonder Fry Sdn Bhd** (hereinafter to be referred as "the Company") on 31.05.2024.

AWARD

Factual Background:

[1] The Claimant commenced employment with the Company on 01.05.2018 as a Sales Manager vide Letter of Appointment dated 01.05.2018 (pages 1-3 CLB-1). Around April 2024, the Claimant was informed by the Company that he was required to write a resignation letter as the Company wishes to terminate him. However, the request was rejected by the Claimant.

[2] On 06.05.2024, the Claimant received a Letter of Termination dated 02.05.2024 issued by the Company which

was sent through WhatsApp informing the Claimant that his services will be terminated on 31.05.2024, on the grounds that the Company had suffered in business operating losses and the Claimant has not been achieving the given years target throughout these years in accordance to the reasons cited in the termination letter according to the following:-

"It is with regret that I must inform you of the decision to terminate your employment with Wonder Fry Sdn Bhd. Due to our Company has suffered in business operating losses for 5 years consecutively. Sadly, your position as Sales and Marketing Manager handling Sitiawan area has not been achieving the given yearly target throughout these years. As our company has tried our best to maintain our workforce and operation over the years, it is time we are now unable to continue with the existing operation. We are required to reduce our workforce and unfortunately, your position has been affected."

[3] The Claimant alleged that, at the time of dismissal, the Claimant's basic salary is RM10,000.00 as stated in the Letter of Appointment. Nonetheless, the Company had omitted its

responsibility to pay the full salary to the Claimant through the years of service as the Company's only paid RM5,000.00 of basic salary to the Claimant.

[4] Being aggrieved and dissatisfied with the decision of the Company as abovementioned facts, the Claimant filed a representation claim in this reference claiming for alleged unfair dismissal and unlawful termination against the Company pursuant to **Section 20(3)** of the **Industrial Relations Act 1967** for this Division of the Industrial Court to hand down a just and appropriate Award. Hence, this present claim.

The Claimant' Case:

[5] The Claimant contends that the Company cited *"reduce workforce"* as the basis for the termination. The Company did not give sufficient notice for the termination as required by the law and the letter was issued to the Claimant as rude shock to him. The Company cannot just cite *"company losses"* as an excuse to abruptly terminate his services and thus the termination was without just cause.

[6] The Claimant further contends that the Company also cited *"reduce workforce"* whereby the Claimant's position has been affected without justifying the action and thus proved that the retrenchment was unfair. The Company ought to have complied with the principles and procedures set forth in the Code of Conduct for Industrial Harmony. Had the Company followed the proper procedures, the Claimant's service would not have been abruptly terminated.

[7] The Claimant vehemently states that the Company did not pay him any compensation or retrenchment benefits for his tenure of his service with the Company which payments (for retrenchment) were expressly and/or impliedly under his terms and conditions of services, due to him for his years of loyal services with the Company. The Company's collective conducts against him at the material time were mala fide which tantamount to serious victimization whereby arbitrarily and illegally elicit the termination of his services were premeditated and malicious motives to bring about the dismissal tantamount to gross exploitation and perverting the cause of good industrial practice and breaches of the rules of natural justice.

[8] The Claimant states that the Company failed to provide reasonable and necessary measures for cost saving or reducing expenditure for a reasonable period prior to the retrenchment exercise was adopted. The Company accusation that the Claimant was not achieving the given yearly target throughout the years is also justified. In fact, no other employees had achieved their respective yearly targets throughout the years due to multiple reasons such as the Company was a new player in the market and the yearly target was unreasonable although the Claimant had constantly achieved the highest sales in the Company during year 2019 to 2022.

[9] The Claimant avers that prior to the decision to terminate his services; the Company had failed to take appropriate measures to consider the various options that are provided for in the Code of Conduct for Industrial Harmony. The Company and/or the management did not sufficiently show any legitimate financial distress and/or alternatively show that they had made sincere attempts to plan and to reduce undue overhead costs so that there will not be the situation of redundancy against the

Claimant. The Company and/or the management had caused the Claimant to be terminated due to their mismanagement, incompetence in transparent and honest management practices of the Company and its businesses.

[10] The Claimant further avers that the Company and/or the management's selection of the Claimant for redundancy was made arbitrarily in that the Company's criteria was not clearly defined and as objective as possible. Inter alia, the Company did not take cognizance of the Claimant's unblemished track record, excellent standard of work performance, positive aptitude for work and skills which the Claimant had acquired through his over six (6) years loyal service with the Company. The Company also intentionally ignored the basis of humane approach when it planned for the purported retrenchment exercise.

[11] As the Claimant was being made redundant, he was eligible for the prior consultation and planning for the future employment opportunities and retraining for new skills so that retrenchment can be avoided but the Company intentionally did

not allow for such opportunity. Furthermore, as he was the only one selected for the redundancy exercise, the Company made no sincere peremptory collective efforts to notify the Claimant towards prior sincere and/or transparent consultation. As such, the dismissal was without just cause and excuse, unlawful, malicious and motivated with ill intention.

The Company's Case:

[12] The Company avers that the termination of the Claimant's employment was justified and lawful as the Claimant's misconduct and breach of fiduciary duty warrant dismissal without notice. The Claimant was not mistreated, and his termination was based on valid grounds including serious misconduct amounting to dishonest and conflict of interest. While the Company initially cited *"company losses"* and *"reduction of workforce"* in the termination letter, this was done to mitigate reputational harm to the Claimant. The real reason for dismissal was serious misconduct, including misappropriation of funds, conflict of interest and breach of fiduciary duty.

[13] The Company reiterates that at no point did the Claimant disclose that Cahaya Juara Resources was his own company/business. Since the Company entrusted the task to him and had no reason to suspect any conflict or interest, the Company did not see the need to independently investigate a vendor, which the Claimant himself had endorsed and coordinated with. This is a matter of employee fiduciary responsibilities, not a lapse in internal controls whereby he was acting as part of the Company's top management team and not an external party. Therefore, the Company was misled under a false pretense of professional delegation. The issue arose not because the Company failed to check, but because the Claimant concealed critical information while holding a position of trust.

[14] The Company states that their approach was guided by a sense of goodwill, hoping to part ways quietly rather than take immediate punitive action. However, once the Claimant filed a claim with the Industrial Court alleging unfair dismissal, the Company were left with no choice but to defend its position and reveal the actual misconduct, supported by documentary

evidence. Despite the gravity of the Claimant's misconduct, the Company provided one month's notice and full salary for the notice period to mitigate the impact of termination on the Claimant's future career.

[15] The misconduct committed by the Claimant was not immediately apparent to the Company. At the time of warehouse on boarding, the Claimant was entrusted with the responsibility to identify and appoint a suitable warehouse. The Company had no knowledge that the appointed vendor; Cahaya Juara Resources was in fact his own company. The Claimant's conduct by concealing his ownership of Cahaya Juara Resources and profiting from an undisclosed business transaction had represented a betrayal of trust, which justified the immediate termination to protect the Company's financial interest and integrity of its business.

[16] The Company submits that the termination of the Claimant was carried out with just cause and excuse in full compliance with Malaysian labor law and industrial practices. The Claimant's dismissal was justified due to serious

misconduct and breach of trust. The Company has the right under Malaysian law to terminate am employee who engages in unethical practices. As such, the Claimant's attempt to claim wrongful dismissal is baseless and should be dismissed entirely by this Industrial Court.

Cause Papers, Bundle of Documents, Witness Statements & Written Submissions Referred:

[17] In the course of hearing, the Company called three (3) witnesses to testify for the Company's case namely:-

(a) **Hiew Yee Wei** (COW-1), General Manager of the Company;

(b) **Lim Shi Khim** (COW-2); Administrative Staff of the Company; and

(c) **Chin Chee Hoong** (COW-3); Assistant Sales Manager of the Company;

Meanwhile, the Claimant (CLW-1) called himself and **Lim Chew Wai** (CLW-2) to testify for his case herein.

[18] In the same course of hearing, the parties had filed and referred the Court for the following documents:-

No.	Cause Papers	Marking
1.	Statement of Case dated 22.01.2025	-
2.	Statement in Reply dated 24.02.2025	-
3.	Rejoinder dated 07.04.2025	-
4.	Claimant's Bundle of Documents	CLB-1
5.	Claimant's Supplemental Bundle of Documents	CLB-2
6.	Witness Statement of **Hiew Yee Wei** dated 18.9.2025	COW-1
7.	Witness Statement of **Lim Shi Kim** dated 18.09.2025	COW-2
8.	Witness Statement of **Chin Chee Hoong** dated 18.09.2025	COW-3
9.	Witness Statement of **Tee Shyang Chin** dated 18.09.2025	CLW -1
10.	Witness Statement of **Lim Chew Wai** dated 18.09.2025	CLWS-2
11.	Final Written Submission for the Respondent dated 15.10.2025	-
12.	Claimant's Written Submission dated 18.12.2025	-
13.	Claimant's Written Submission in Reply dated 01.01.2026	-
14.	Final Reply Submission for the Respondent dated 06.01.2026	-

The Role and Function of the Industrial Court:

[19] It is settled that the function of the Industrial Court in **s. 20(3) Industrial Relations Act 1967** reference is twofold as explained by His Lordship *Raja Azlan Shah*, CJ (Malaya) (as His Royal Highness then was) in the Federal Court case of **Goon Kwee Phoy v. J & P Coats(M) Sdn. Bhd. [1981] CLJU 30; [1981] 1 LNS 30; [1981] 2 MLJ 129** opined that:

"Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give, reason for the action taken by him the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it."

Reference is also made to the decision of the Federal Court in **Milan Auto Sdn. Bhd. v. Wong Seh Yen [1995] 4 CLJ 449; [1995] 3 MLJ 537, His Lordship Mohd Azmi bin Kamaruddin**, FCJ explained the role of the Industrial Court under s. 20 Industrial Relations Act 1967 as follows:

"As pointed out by the court recently in **Wong Yuen Hock v. Syarikat Hong Leong Assurance Sdn. Bhd. & Another Appeal [1995] 3 CLJ 344; [1995] 2 MLJ 753***, the function of the Industrial Court in dismissal cases on a reference under s. 20 is two-fold; firstly, to determine whether the misconduct complained off by the employer has been established, and secondly whether the proven misconduct constitutes just cause or excuse for the dismissal. Failure to determine these issues on the merits would be a jurisdictional error..."*

<u>The Standard and the Burden of Proof</u>:

[20] It is trite law that when the employer had caused the termination of its employee, the burden of proof that the employee has committed the misconduct, and that the dismissal was with just cause or excuse rests squarely on the employer.

(See **Telekom Malaysia Kawasan Utara v. Krishnan Kutty Sanguni Nair & Anor [2002] 3 CLJ 314; [2002] 3 MLJ 129**).

[21] The Industrial Court Chairman in **Stamford Executive Centre v. Puan Dharsini Ganesan [1986] 1 ILR 101** stated the following in regard to the burden of proof:

"It may further be emphasized here that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer. He must prove the workman guilty, and it is not the workman who must prove himself not guilty. This is so basic a principle of industrial jurisprudence that no employer is expected to come to this court in ignorance of it. (**Goon Kwee Phoy v. J & P Coats (M) Bhd. [1981] CLJU 30; [1981] 1 LNS 30; [1981] 2 MLJ 129**)".

[22] The standard of proof required in dismissal cases as laid down by the Court of Appeal in **Telekom Malaysia Kawasan Utara v. Krishnan Kutty Sanguni Nair & Anor [2002] 3 CLJ 314** is the balance of probabilities. Therefore, it is incumbent

upon the Company as the employer to prove that the dismissal of the Claimant was with just cause or excuse since the burden rests squarely on the Company. In the event, the Court is not convinced that the Company has discharged its burden of proof, and then the inevitable conclusion would be that the Claimant's termination of his employment was done without just cause or excuse.

Issues:

[23] Based on the factual background of the case and guided by the principles in the aforesaid authorities, the issues for this Court's consideration in this case are:

(a) Whether the Company can rely on reasons other than those stated in the termination letter as grounds for the dismissal of the Claimant; and

(b) Whether the dismissal of the Claimant by the Company relying on other reasons was done with just cause or excuse to justify the dismissal.

Evaluation of Evidence & Findings:

[24] In a situation where the employer gave no reasons whatsoever for dismissing the workman, the scope of the Industrial Courts adjudication is still tied to the representations and thereby to the factors operating in the mind of the employer at the time of the dismissal. The fact that those reasons have not been articulated does not alter the object and effect of **s. 20(1)** or **20(3) Industrial Relations Act 1967**. The Industrial Court is bound to restrict the inquiry to that extent. This issue is considered in further detail below.

[25] In reference of the termination letter dated 02.05.2024 (page 4 CLB-1) issued by the Company clearly stated that the decision to terminate the Claimant's employment with the Company due to the Company has suffered in business operating losses for 5 years consecutively. As a result, his position as Sales and Marketing Manager handling Sitiawan area has not been achieving the given years target throughout these years. As the Company has tried its best to maintain its workforce and operation over the years, it is the time the

Company are now unable to continue with the existing operation. The Company is required to reduce its workforce, and unfortunately, the Claimant's position has been affected.

[26] However, the Company in its Statement in Reply dated 24.02.2025, particularly at paragraph, 7 denied the dismissal was due to redundancy or Company losses and further pleaded that it was because of the Claimant's serious misconduct and breach of fiduciary duty as the reasons of dismissal without notice. The Company's financial condition was also not pleaded in the same Statement In Reply. Prior to the termination, no domestic inquiry, hearing or whatsoever investigations was conducted by the Company against the Claimant during that particular period of time, neither any warning and/or show cause nor reprimand letter was given to the Claimant in regard of his alleged misconduct or breach of fiduciary duties. Thus, it is the Claimant's main contention and pleads that the Company's allegations of serious misconduct and/or breach of fiduciary duties is an act of afterthought and unsubstantiated.

[27] Apparently, in the hearing of this case, COW-1: **Hiew Yee Wei** as the General Manager of the Company testified that the Company initially enter into an agreement with Cahaya Juara Resources for warehousing services in year 2022 after the Company was introduced by the Claimant to Cahaya Juara Resources which was an independent warehouse service provider offering the Company warehousing services at RM2,800.00 per month being as a cost reduction from RM6,000.00 per month that the Company had been paying. Based on the representation and cost benefit, the Company agreed. However, the Company only became aware of the Claimant's ownership of Cahaya Juara Resources after one year of rental payments had already been made. Prior to that, he never disclosed that it was his own sole proprietorship. This was a material non-disclosure and a clear conflict of interest, especially since he personally introduced Cahaya Juara Resources to the Company.

[28] The Company also discovered that the Claimant failed to inform COW-1 or the Company that Cahaya Juara Resources was offering free rental for one year. In fact, based on

clarification by the actual warehouse manager, **Teoh Siew Hong** from Mooi Pin Trading (was not called by the Company to testify in Court), the Company learned there was a one-year free rental period offered to the Claimant. As a result, the Company was misled into paying RM2,800 per month for a warehouse which was being enjoyed rent-free by Cahaya Juara Resources whereas that amounts to unauthorized enrichment by the Claimant. The payments were made under the assumption that they were legitimate warehousing rental costs paid to the third party provider. The Company were never told that the actual warehouse operator (Mooi Pin Trading) was not receiving any of those funds directly and the Company believed that it was paying a service provider for legitimate rental usage. There was also a free one-year rental period which the Claimant failed to disclose to the Company but yet, monthly rental payments were still being paid to his company; Cahaya Juara Resources. At the material time, the Company had no knowledge that the appointed vendor, Cahaya Juara Resources was a business entity owned and controlled by the Claimant himself. It was only much later, after internal inquiries and

communications with the actual warehouse operator (Mooi Pin Trading) that the Company discovered the conflict of interest and concealed ownership as shown in different signatures for Cahaya Juara Resources and the Claimant after this serious conflict of interest only surfaced in May 2023, a year after payments made.

[29] Evidence of COW-1 further testified that at no time did the Claimant disclose that he owned Cahaya Juara Resources as he neither sought written approval nor informed any member of management that he stood in personal benefit from the monthly payments. The Company contends that this omission is serious as it breaches fundamental fiduciary duties and business ethics. There was no disclosure from the Claimant regarding any personnel interest in the vendor. The responsibility of sourcing and appointing a suitable warehouse service provider was fully delegated to the Claimant in his capacity as the Sales Manager as he was entrusted with this task and trust due to his position as part of the top management team whereby the Claimant has accepted this responsibility. The Company allowed side business only if

disclosed and approved, and so long as they did not conflict with the employee's role or compromise the Company interests whereof the Claimant's case involved direct personal gain by transacting with his own undisclosed business entity which goes far beyond a permissible side hustle. The Company alleged that at no point did the Claimant disclose to the management of the Company that Cahaya Juara Resources was his own company and/or business.

[30] In the circumstances, evidence of COW-1 further confirmed that once the Company discovered that the Claimant had misrepresented his ownership of Cahaya Juara Resources and personally profited from warehouse rental paid by the Company, he was misleading the Company into believing it was an independent service. As such, the Company had no choice but to terminate his employment due to loss of trust, conflict of interest and potential misappropriation of Company's funds.

[31] Evidence of COW-1 further contends that the Company did not mention the Claimant's misconduct or wrongdoing in the termination letter dated 02.05.2024 although the Company was

aware of it on the grounds that the Company made a conscious decision to keep the termination letter neutral and frame it based on general business circumstances to avoid escalating the matter unnecessarily and to allow the Claimant to move on without any permanent stain on his employment record. At that time, the termination letter was issued with the Company's intention was not to destroy the Claimant's future job prospects or reputation despite the serious internal breach that the Company had discovered. Thus, the absence of allegation of actual misconduct in the termination letter was not due to lack of cause, but rather a deliberate attempt to avoid mutual confrontation and as a courtesy upon the Claimant although unfortunately but did not reciprocate. After uncovering this, the Company terminated the lease with Cahaya Juara Resources and redirected monthly rental payments to Mooi Pin Trading as the actual owner of the warehouse, and importantly, the Company gave the Claimant the benefit of the doubt hoping that he would return the funds he had wrongfully collected.

[32] COW-1 further states and testified that the Company had waited in good faith for nearly a year, but no repayment was

made although the Company had exercised maximum patience by attempting to resolve this matter without escalation to protect the Claimant's future career and reputation. However, by May 2024, it became clear that no intention of repayment existed, and the Company could no longer justify inaction. This is when the Company made the final decision to terminate the Claimant's employment based on a well-substantiated act of dishonesty and abuse of position.

[33] In the contrary, the Claimant contends that on 02.05.2024, the Company's General Manager; **Hiew Yee Wei** (COW-1) called the Claimant and requested him to resign from the Company voluntarily on the ground that the Company was not doing well and was sustaining losses upon which the Claimant rejected the request, as he did not agree to it.

[34] By referring to the Letter of Termination dated 02.05.2024 (page 4 CLB-1), the Company cited *"our company has suffered in business operating losses for 5 years consecutively",* and the Claimant has not been achieving the given yearly target throughout these years. Thus, it is clear that the Company cited

"reduce workforce" and/or retrenchment as the basis and the reason for the Claimant's termination given by the Company. Clearly, the Company did not cite neither provide any other reason for his termination other than those which was clearly stated in the termination letter before the Claimant lodged his complaint to the Labor Department and Industrial Relations Department on 04.06.2024.

[35] Notwithstanding that, in the present case, the Company did not state any form of misconduct by the Claimant in the termination letter whereby no domestic inquiry, investigation, show cause or warning letter issued and/or conducted by the Company against the Claimant during his service in the Company in regards of his alleged misconduct. Assuming that the Company had discovered his alleged misconduct for failure to disclose his own business and profiting from an undisclosed business transaction before the date of termination, the Company kept it silent in condonation of the Claimant's act of misconduct despite knowing and acknowledged it as a serious act of misconduct, which justified with immediate termination of his services. On contrary, the Company now, after termination

and after the Claimant filed his reference for unfair dismissal in this claim, had purportedly changed its grounds of termination from retrenchment and/or to reduce workforce and poor performance of the Claimant to another different ground of dismissal i.e., misconduct which was not earlier stated as reasonable ground in the termination letter dated 02.05.2024 issued against the Claimant.

[36] On another note, the Claimant contends that the Company failed to pay his full basic salary of RM10,000.00 per month during his tenure of service in the Company instead receiving RM5,000.00 per month only as shown in the pay slips (pages 5-20 CLB-1) and EA Forms (pages 21-23 CLB-1) prepared by the Company whereby the Company had only paid RM650.00 a month as employer's contribution to his EPF account. This is consistent with the fact that the Company had only paid the Claimant only RM5,000.00 of basic salary per month throughout the years of his services with the Company until dismissal. Without prejudice, the Claimant accepted his payment of RM5,000.00 as monthly basis salary as clearly stated in his pay slips (pages 5-20 CLB-1) whereof he did not

take any reasonable action against the Company for the unpaid wages at the material time before his termination on the reason being that he was still under the employment of the Company and he was worried about the consequences of such action to his employment. At all material times, if the Claimant was not satisfied with the less than expected monthly salary he had received from the Company, he would not silently accept it and choose not to object or report the matter to the Labor Office or the authorities. Instead, being condoned of his own silence, the Claimant simply accepts it without any objection against his employer until date of his dismissal.

[37] Nevertheless, before the termination, the Company and/or COW-1 never alleged of the Claimant's misconduct or questioned about the Claimant's involvement in Cahaya Juara Resources in the termination letter, as the Company did not mention on such allegation of misconduct although it was a serious offence according to the Company. The Claimant's involvement in Cahaya Juara Resources was also not being questioned before his termination by the Company whereof it was only raised by the Company after the Claimant filed his

complaint and/or reference of this present case to the Industrial Relations Department over his unfair and unlawful dismissal.

[38] At this juncture, whether the Company can plead and rely on any other reason of dismissal not stated in the termination letter dated 02.05.2024 whereof the Company had never proved retrenchment or poor performance of the Claimant to constitute just cause or excuse and justified the dismissal. Whether any allegations of misconduct or breach of fiduciary duty constitute just cause and excuse or justified the dismissal?

[39] In **Goon Kwee Phoy v. J.P. Costs (M) Bhd [1981] CLJU 30**, the decision of the Federal Court where it was held that the Industrial Court is to enquire only into the reason as advanced by the employer in the employee's termination and that the Court cannot o into another reason not relied on by the employer or find one for it. *Raja Azlan Shah CJ* (Malaya) in delivering the judgment of the Court;

"We do not see any material difference between a termination of the contract of employment by due notice and a unilateral dismissal of a summary nature. The effect is the same and the

result must be the same. Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse. If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reason has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it."

[40] In the case of **Maritime Intelligence Sdn Bhd v. Tan Ah Gek [2021] 10 CLJ 663**, it was held by the Federal Court that the Industrial Court can only enquire into the reason for termination as premised on matters and events at the time of dismissal and not subsequently raised in the pleadings. Per *Nallini Pathmanathan* FCJ delivering the judgment of the court:

***"(3)** By virtue of the clear statutory content of **s. 20(3), t**he function of the Industrial Court is tied inextricably to the*

representations of the workman of a dismissal without just cause or excuse. Those representations are made by the workman at the time of his dismissal, for reasons which he feels are without any reasoned basis or for reasons that are insufficient to warrant a dismissal. The focus of the enquiry of the Industrial Court under ***s. 20(3) of the Act,*** *is therefore premised on matters and events as they occurred at the time of the dismissal. The reasons operating in the mind of the employer, which preceded the decision to terminate, and resulted in the decision to terminate, comprise the matters to be considered and adjudicated upon by the Industrial Court under* ***s. 20(3).*** *By way of elaboration of this point, specific factors, events or reasons would have operated on the employer's mind, prior to the employer deciding to terminate the workman's services. It is those reasons, factors or events which comprise the basis for the dismissal. The workman makes his representation or complaint of dismissal without just cause or excuse based on those reasons, factors or events only under* ***s. 20(1).*** *It therefore follows that the representations based on those limited reasons factors or events only, can*

comprise the basis for assessment and adjudication by the Industrial Court under ***s. 20(3).*** *The term 'representations' therefore ties the jurisdiction of the Industrial Court down to the reasons, factors or events operating in the mind of the employer at the time of dismissal resulting in the representation. (paras 46-48)*

(4) *There is no provision for the Industrial Court to consider matters outside of the representation by the workman, under* ***s. 20(3).*** *Matters outside of the representation would include matters which were not operative in the employer's mind when the decision to dismiss was taken, but which the employer chooses to put forward post-dismissal at a subsequent stage in the Industrial Court, to justify the decision to dismiss the workman, ex post facto. The very specific wording of* ***s. 20*** *does not prescribe or allow an overarching survey by the Industrial Court of any and all matters both pre and post-dismissal, in an effort to ascertain whether the workman's representations are made out. It is the statutorily prescribed function of the Industrial Court to examine, investigate the representations of the workman and then hand down an award under* ***s. 20(3)****. It is*

not the function of the Industrial Court to decide otherwise than prescribed by the Act. The Act implicitly prescribes an investigation into facts and events and reasons at the point and/or time of dismissal. There is no provision in the Act for the industrial tribunal to embark on a far-ranging survey to ascertain whether given matters which the employer has discovered subsequently and not put to the workman, it is justified in dismissing the workman (paras 50 & 51)".

[41] Nonetheless, the Company cannot plead and rely on any other reason of dismissal not stated in the termination letter as this Industrial Court shall enquire on whether the reason of termination stated in the said letter of termination dated 02.05.2024 as clearly stated on the grounds of retrenchment or poor performance constitutes just cause or excuse for the dismissal. No warning letter or show cause letter was ever issued to the Claimant prior to the termination on 02.05.2024. This was admitted by COW-1 during the trial that no warning letter had been given for the Claimant's alleged misconduct as the followings:-

"Question: You mentioned just now that you gave our Mr. Tee Shyang Chin a chance to repentance to himself. I highlight to you again it was in 2023 that you discovered according to your own witness statement and then you took one whole year. You did not issue any warning letter? You did not issue any email notice or sort of documents that you have ample time to issue?

COW-1: No.

Question: And then in 2024 May, suddenly you terminated him and use all those other reasons stated in your letter of termination. Without mentioning also the misconduct? You just agree?

COW-1: I have agreed what you said."

[42] To compound matter, the Company had not pleaded the Company's financial condition, or the Company sustained business losses for consecutive years nor the poor performance of the Claimant in their Statement in Reply.

[43] In **Han Lit Chaw v. SDP Packaging Sdn. Bhd. [2022] 3 ILJ 1745,** it was decided as the following:

"Held for the claimant: retrenchment mala fide

(1) *The company's financial condition, pre-pandemic had not been pleaded in its Statement in Reply, let alone the fact that it had affected its decision to terminate the claimant from employment. Parties are bound by the four corners of their pleadings. Further, its decision in selecting the claimant for retrenchment, due to his habitual absenteeism and tardiness, had not been mentioned in the LOT. The Industrial Court can only enquire into the reason for termination premised on matters and events that occur at the time of the dismissal and not those subsequently raised in pleadings (see the Federal Court Cases of Maritime Intelligence and Goon Kwee Phoy respectively). Thus, an enquiry would only be made into his termination, based on the company's need to review its existing workflow and manpower needs, as a result of the current adverse economic situation that had been caused by the pandemic (paras 24, 25, 30, 31, 32 & 34).*

(2) *On whether the company had faced an adverse economic situation due to the pandemic, since it had not been pleaded, it would be ignored."*

[44] It is settled that the burden of proof is on the Company to prove actual redundancy in which the dismissal of the employee is grounded This is clearly explained by the Court of Appeal in **Bayer (M) Sdn Bhd v. Ng Hong Pau [1999] 4 CLJ 155**, as follows:-

"Shaik Daud Ismail JCA:

On redundancy, it cannot be gainsaid that the appellant must come to the court with concrete proof. The burden is on the appellant to prove actual redundancy on which the dismissal was grounded. (See **Chapman & Others v. Goonvean & Rostawvack China Clay Co. Ltd. [1983] 2 All ER***). It is our view that merely to show evidence of a re-organization in the appellant is certainly not sufficient. There was evidence before the court that although sales were reduced, the workload of the respondent remained the same. After his dismissal, his workload was taken over by two of his former colleagues. Faced with this evidence, is it any wonder that the court made a finding of fact that there was no convincing evidence produced by the appellant that the respondent's functions were reduced to such an extent that he was considered redundant."*

[45] Conversely, in this present case, the Company admitted that they cited Company's losses as the reason of termination, but they had failed to prove the losses sustained by the Company whereby there was no financial document adduced as evidence. The Company also had failed to prove retrenchment constitutes just cause or justified the dismissal. As such, the absence of the Company's financial documents to substantiate the ground of dismissal is fatal to the Company's case in justifying its termination against the Claimant. Besides, the Company had never given any warning, show cause letter, or training or place the Claimant in Performance Improvement Programmed (PIP) due to the alleged Claimant's poor performance or any request of him to improve his sales performance. Therefore, the reason for the poor performance of the Claimant was also not proven as just cause or excuse to dismiss the Claimant.

[46] Nevertheless, if there were issues with the Claimant's performance, the Company could resort to other means to improve his performance and not terminating his employment under the guise of redundancy. There was no evidence led that

the Claimant had been served with a warning letter to improve on his performance or that his previous performance appraisal had revealed something alarming about his poor performance. If indeed his poor performance was the type that could be improved through training, then the relevant training should be provided to the Claimant. If it is not the type that could not be remedied then the Claimant should be given a warning letter and if not further improvement, then a show cause letter so that he may have an opportunity to reply to the allegation of poor performance. In the case of **Rohimi Yusoff v. Alfa Meli Marketing Sdn Bhd [2001] 6 CLJ 182,** the High Court held as follows:-

"An employer should be very slow to dismiss upon the ground that the employee was found to be unsatisfactory in performance or incapable of performing the work which he is employed to do with first telling the employee of the aspects in which he is failing to do his job adequately warning him of the likelihood of dismissal on the ground and giving him an opportunity in improving his performance...There is no record of

such warnings. On the contrary I am satisfied that the Claimant had performed his task to the best of his ability."

[47] The Company raised in the pleadings and during the trial the issues of serious misconduct and breach of fiduciary duties and trust as the reasons of termination although it was not stated in the termination letter. The Company further claimed that the decision to initially state financial reasons for dismissal was to protect the Claimant's future prospects. It is clear findings that any allegation of misconduct or breach of fiduciary duties was bare afterthought. This fact of evidence was admitted and confirmed by COW-1 during cross-examination as follows:-

"Question: Let me rephrase myself. Since in your letter of termination you did not touch on the misconduct at all. It was only brought up after my client complained to Industrial Department. So it is a clear afterthought that you alleged him of misconduct.

COW-1: In you point of opinion, yes, I have to agree."

[48] In furtherance, the fact that no domestic inquiry had been called for the Claimant's alleged misconduct and the Company did not call for any domestic inquiry, as the Claimant was not given a reasonable opportunity to defend his position to the Company, which was also not challenged by the Company in this present case. In the case of **HQ Pack Sdn Bhd v. Ronald Jan Splinter [2022] CLJU 2205; [2022] CLJU 2205; [2022] 1 LNS 2205,** the Court held that-

"... the 1st Respondent was not afforded a reason or a right to be heard before his dismissal. There was no oral or written warning given to the 1st Respondent nor any reason advanced for his dismissal. There was no allegation of any non-performance, poor performance or misconduct. As it appears, there is absolutely no evidence of any apparent reason for the Applicant to dismiss the 1st Respondent. It is of the considered view that the dismissal by the Applicant is in fact made mala fide, arbitrary or capricious and is actuated by bad labor practice."

[49] The decision in ***Maritime Intelligence Sdn Bhd*** *[supra]* was further considered by this Court in the case of **Ng**

Seow Poe v. Tempo Properties Sdn Bhd [2022] ILRU 1895; [2022] 2 LNS 1895 and held that, *"The Company cannot expect the Claimant to have extrasensory powers to enter into the mind of the Company s management to seek its reasons to terminate him from his employment."* This Court further went on to say *"... By keeping silent and later on springing a surprise by raising it for the first time in the pleadings runs against the very principle laid down in* **Maritime Intelligence Sdn Bhd v. Tan Ah Gek** (supra) and **Goon Kwee Phoy v. J & P Coats (M) Bhd** *(supra)".*

[50] The Company in its Statement in Reply admitted that the reason of misconduct and/or breach of trust was not stated in the letter of termination whereby the dismissal was not due to redundancy or company losses, that any mention of these reasons was made solely to protect the Claimant from reputation damage. The Company failed to issue any written warning nor call for domestic inquiry even though the alleged misconduct was discovered in year 2023 and did not cite any misconduct as the reason for termination, culminating that misconduct was not substantiated neither established as the

reason to justify termination against the Claimant by the Company. Even if the Company alleged any misconduct by the Claimant, the Company has deprived the Claimant's right of non-accordance to natural justice and was never given any opportunity for him to explain his case.

[51] Similarly in **Lee Fen Nee v. Wrp Asia Pacific Sdn Bhd [2023] 1 ILR 155,** the learned Chairman of the Industrial Court held that;

"[47] *In the circumstances, the claimant has been deprived of her right of non-accordance to natural justice and was never given any chance to explain and/or produce any documentary evidence or her witness into any inquiry proceeding ever conducted by the company to establish her defense against all allegations levelled against her."*

[52] For final analysis, it is also abundantly clear that the Company has not proved a genuine retrenchment of Company losses or poor performance sufficient to justify dismissal. The Company is after the fact allegation of misconduct is unsubstantiated and mala fide contradictory and inconsistent to

the actual reasons mentioned and stated by the Company in termination letter dated 02.05.2024. It is also abundantly clear to this Court that the Claimant was dismissed by the Company without any just cause or excuse, as the termination letter contains no valid or just reason for the termination of the Claimant from his employment. Even though the Company alleged that the reasons for termination were different reasons from what were stated in the termination letter because the Company did not wish to cause any embarrassment and predicament to the Claimant in his future carrier, this Court is unable to accept the said reason given by the Company and finds that it is been raised as an afterthought. Thus, it is duty of the Industrial Court to first determine the misconduct alleged by the Company is valid, and subsequently the alleged misconduct constitutes just cause or excuse for the dismissal. In this case, it is abundantly clear that the Company has failed to establish any misconduct and thus there is no just cause or excuse to justify the dismissal.

[53] Pursuant to **Section 30(5)** of the Act and guided by the principles of equity, good conscience and substantial merits of the case without regard to technicalities and legal forms and after having considered the totality of the facts of the case, the evidence adduced and by the reasons of the established principles of industrial relations and disputes as stated above, this Court finds that the Company has failed to prove on the balance of probabilities that the termination of the Claimant was with just cause or excuse. This Court now finds that the Claimant has been dismissed without just cause or excuse. In the circumstances, the Claimant's claim herein is hereby allowed.

Remedy:

[54] This Court having ruled that the Claimant was dismissed without just cause or excuse, will now consider the appropriate remedy for the claimant. The Federal Court in **Dr. A Dutt v. Assunta Hospital [1981] 1 LNS 5; [1981] 1 MLJ 304** held that the Industrial Court is authorized to award monetary compensation if it is of the view that reinstatement is not

appropriate. The compensation constitutes two (2) elements, namely that of:-

(a) back wages and

(b) compensation *in lieu* of reinstatement.

[55] Albeit the Claimant has prayed for reinstatement but considering that fact that the decision to terminate the Claimant was ultimately made by the Company's General Manager (COW-1) and from this, one could reasonably infer that there may have been a strained relationship between the Claimant and the management of the Company as a whole. Reinstatement may not be an appropriate remedy as the Claimant was dismissed since 02.05.2024 and it would not be conducive to Industrial Harmony to return the Claimant to his previous place of work. Therefore, compensation in lieu of reinstatement is the more appropriate remedy in this case.

[56] According to the Claimant's pay slips March 2023 – May 2024 (pages 5-20 CLB-1), he received without any complaint and/or objection against the Company for a basic salary of RM5,000.00 per month from the Company, but not RM10,000.00

as he claimed despite realized that he was underpaid throughout 6 years in service with the Company upon which he remained silent until he raised objection in this present claim herein after his dismissal, which clearly an act of afterthought.

[57] Relying on **Practice Note No.3 of 2019**, compensation in lieu of reinstatement is to be computed based on one month's salary for each year-completed service. As such, the Claimant's length of service with the Company is six (6) years (01.05.2018 – 31.05.2024) and his last drawn basic salary was RM5,000.00 before the dismissal. The calculation is as follows:

RM5, 000.00 X 6 years = RM30, 000.00

[58] The Claimant is also entitled for back wages in line with **s. 30(6A) Industrial Relations Act 1967** and the factors specified in the **Second Schedule** therein which states:

1. In the event that back wages are to be given, such back wages shall not exceed twenty-four months' back wages from the date of dismissal based on the last-drawn salary of the person who has been dismissed without just cause or excuse.

[59] Pursuant to the above, the Court granted the Claimant's back wages from the date of dismissal (31.05.2024) to the last date of hearing (18.09.2025) which is 15 months with the calculation as below:

RM5,000.00 X 15 months = RM75,000.00

[60] This Court is further bound by the principle laid down in the case of **Dr James Alfred (Sabah) v. Koperasi Serbaguna Sanya Bhd (Sabah) & Anor [2001] 3 CLJ 541** where His Lordship Justice *Steve Shim* CJ (Sabah & Sarawak) in delivering the judgment of the Federal Court opined:-

"In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of back wages, should take into account the fact, if established by evidence or admitted, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it. Of course, taking into account of such employment after dismissal does not necessarily mean that the Industrial Court has to conduct a mathematical exercise in deduction. What is important is that the Industrial Court, in the exercise of its

discretion in assessing the quantum of back wages, should take into account all relevant matters including the fact, where it exists, that the workman has been gainfully employed elsewhere after his dismissal. This discretion is in the nature of a decision-making process."

[61] The Claimant testified that after dismissal, he continued managing his own company, Cahaya Juara Resources and earned his average monthly income of RM5,000.00 per month. This Court must take into account the Claimant's post dismissal earnings in order to make an appropriate deduction from the back wages to be awarded. This Court is of a considered view that 20% is an appropriate and reasonable proportion to be deducted from the back wages in considering the Claimant's post dismissal earnings.

RM75,000.00 – RM15,000.00 (20%) = RM60,000.00

Total Award: RM30,000.00 + RM60,000.00 = RM90,000.00

[62] The Court hereby ordered that the amount as awarded above amounting of **Ringgit Malaysia Ninety Thousand (RM90,000.00)** is subjected to any statutory deduction (if any)

shall be paid by the Company to the Claimant through his representatives; **Messrs. Wong S. & Jason Ng** within thirty (30) days from the date of service of this Award as set forth herein.

[63] In arriving the above decision, the Court has taken into account on totality of evidence as a whole submitted by the Company and the Claimant, the pleadings that have been filed by both parties and with regard to **s. 30(5) of the Industrial Relations Act 1967** which requires the Court to act in accordance with equity and good conscience and substantial merits of the case without regards on technicality and legal form.

THIS AWARD HANDED DOWN AND DATED 02 MARCH 2026

Signed

ZULHELMY BIN HASAN
CHAIRMAN
INDUSTRIAL COURT OF MALAYSIA
IPOH, PERAK